

PART-B

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Signature of the Student: 

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Signature of the Invigilator: 

INSTRUCTIONS

1. Check that you have **10 printed pages**. The PART-B of the examination has **4 questions**, for a total of **20 points**.
2. Attempt **all questions**.
3. There is **no credit** for a solution if the appropriate work is not shown, even if the answer is correct.
4. Write your answers in this booklet and only in the **space marked for answers**. Any answer written in any space other than the designated space will **not be evaluated**.
5. The pages numbered **8 to 10** are kept as **additional pages**. If you cannot able to fit a complete answer in the space provided just after the question, you can use these three pages by referring the page number of additional page in the original space.
6. At the beginning of the examination, a supplementary sheet has been provided only for rough work. Should you need more, please ask the invigilator.
7. No questions require any clarification from the instructor or invigilators, even if a question has an error or incomplete data. The students are advised to write answer according to their understanding or write reasons for why it is not possible to solve partially or completely that question by citing errors/insufficient data.

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Question:	1	2	3	4	Total
Points:	6	7	5	2	20
Score:	0	0	5	1	06

QUESTIONS

1. (6 points) Let

$$S = \begin{pmatrix} S_{yy} & S_{yx}^T \\ S_{yx} & S_{xx} \end{pmatrix}$$

be the partitioned sample covariance matrix of $Y_{1 \times 1}$ and $X_{q \times 1}$ based on a centered (with respect to sample mean) sample of size n . Prove that the squared sample first canonical correlation r_1^2 is identical to the coefficient of determination (R^2) obtained from the multiple linear regression of Y on the vector X .

$$S = \begin{pmatrix} S_{yy} & S_{yx}^T \\ S_{yx} & S_{xx} \end{pmatrix}$$

We know that -

$$S_{yy} = \sum_{i=1}^n (y_i - \bar{y})^2 \quad R^2 = \frac{SS_{Reg}}{SS_{Total}} = \frac{\sum (y_i - \bar{y})^2}{\sum (y_i - \bar{y})^2}$$

$$S_{yx} = S_{xy} = \sum (y_i - \bar{y})(x_i - \bar{x})$$

Let us find the eigen values of matrix S :-

$$S - \lambda I = 0$$

$$\begin{vmatrix} S_{yy} - \lambda & S_{yx}^T - \lambda I \\ S_{yx} - \lambda I & S_{xx} - \lambda I \end{vmatrix} = 0$$

Eigen value of this matrix S will give the first canonical correlation r_1^2

$$(S_{yy} - \lambda)(S_{xx} - \lambda I) - (S_{yx}^T - \lambda I)(S_{yx} - \lambda I) = 0$$

$$S_{yy} S_{xx} - \lambda S_{yy} I - \lambda S_{xx} + \lambda^2 I - S_{yx}^T S_{yx} + S_{yx}^T \lambda I + \lambda I S_{yx} - \lambda^2 I = 0$$

$$S_{yy} S_{xx} - \lambda S_{yy} I - \lambda S_{xx} - S_{yx}^T S_{yx} + \lambda S_{yx}^T + \lambda S_{yx} = 0$$

$$(y - \bar{y})^T (y - \bar{y}) = \sum_{i=1}^n (y_i - \bar{y})^2 = \lambda \sum_{i=1}^n (x_i - \bar{x})^2$$

$$S_{yy} S_{xx} - S_{yx}^T S_{yx} = \lambda S_{yy} + \lambda S_{xx} - \lambda S_{yx}^T - \lambda S_{yx}$$

$$S_{yy} S_{xx} - S_{yx}^T S_{yx} = \lambda (S_{yy} I + S_{xx} - S_{yx}^T - S_{yx})$$

$$\lambda = \frac{S_{yy} S_{xx} - S_{yx}^T S_{yx}}{S_{yy} I + S_{xx} - S_{yx}^T - S_{yx}} = r_1^2$$

Now, let us prove that $\sigma_1^2 = R^2$

$$R^2 = \frac{SS_{\text{Reg}}}{SS_T}$$

oo

$$SS_{\text{Reg}} = \mathbf{y}^T \mathbf{y} - \mathbf{R}_1$$

2. Suppose you are performing a factor analysis on a 4×4 sample covariance matrix S . The eigenvalues of S are $\lambda_1 = 0.8$, $\lambda_2 = 2.1$, $\lambda_3 = 4.2$, and $\lambda_4 = 0.2$. The corresponding normalized eigenvectors are e_1, e_2, e_3 , and e_4 . You decide to extract $m = 2$ factors using the principal component method.
- (a) (2 points) Write down the explicit mathematical expression for the estimated factor loading matrix $\tilde{L}$ in terms of the given eigenvalues and eigenvectors.
- (b) (1 point) Let the first row of $\tilde{L}$ be $\tilde{l}_1^T = [0.8, -0.4]$. Calculate the estimated communality $\tilde{h}_1^2$ for the first variable.
- (c) (4 points) Prove that the sum of all estimated communalities $\sum_{i=1}^p \tilde{h}_i^2$ is exactly equal to the sum of the largest $m = 2$ eigenvalues of S .

a) $S \rightarrow$ Sample covariance matrix
 $\lambda_1 = 0.8, \lambda_2 = 2.1, \lambda_3 = 4.2, \lambda_4 = 0.2$

We know that -

$$S = LL^T \quad X - \mu = LF + \epsilon$$

$$S = LL^T + \Psi$$

We can write S in form of its eigen values -

$$S = \begin{bmatrix} 0.8 & 0 & 0 & 0 \\ 0 & 2.1 & 0 & 0 \\ 0 & 0 & 4.2 & 0 \\ 0 & 0 & 0 & 0.2 \end{bmatrix}$$

$$L = \begin{bmatrix} \lambda_1 e_1 \\ \lambda_2 e_2 \\ \lambda_3 e_3 \\ \lambda_4 e_4 \end{bmatrix}$$

a) $\tilde{L} = \begin{bmatrix} 0.8 e_1 \\ 2.1 e_2 \\ 4.2 e_3 \\ 0.2 e_4 \end{bmatrix}$

b) $\tilde{h}_1^2 = 0.8^2 + (-0.4)^2 = \lambda_{11}^2 + \lambda_{12}^2$

$= 0.64 + 0.36 = 1$

c) $\sum_{i=1}^p \tilde{h}_i^2 = \sum_{i=1}^p \sum_{j=1}^2 \lambda_{ij}^2$

We know that

$$\sum_{i=1}^p \tilde{h}_i^2 = \lambda_1 + \lambda_2 + \dots + \lambda_p$$

Here we are doing factor analysis for

$m=2$ factors,
 so, we will take two largest $\lambda_3 = 4.2$ and $\lambda_2 = 2.1$

$$\therefore \sum_{i=1}^p \tilde{h}_i^2 = \lambda_3 + \lambda_2 = 4.2 + 2.1 = 7.3$$

up to the point where the
the value for the first time

is the first time

the value for the first time

the value for the first time

the value for the first time

the value for the first time

the value for the first time

the value for the first time

the value for the first time

$$I = \frac{1}{n} \sum_{i=1}^n f(u_i) \Delta u$$

$$\frac{1}{n} \sum_{i=1}^n f(u_i) \Delta u$$

$$\frac{1}{n} \sum_{i=1}^n f(u_i) \Delta u$$

$$\frac{1}{n} \sum_{i=1}^n f(u_i) \Delta u$$

$$\frac{1}{n} \sum_{i=1}^n f(u_i) \Delta u$$

the value for the first time

3. (5 points) Let $X_1, X_2, \dots, X_n$ be a random sample of size n from a distribution with mean $\mu \in \mathbb{R}$ and variance μ^2 . Let $\bar{X}_n = \frac{1}{n} \sum_{i=1}^n X_i$. Derive a variance-stabilizing transformation $g(\bar{X}_n)$ such that the asymptotic variance of $g(\bar{X}_n)$ does not depend on μ .

$X_1, X_2, \dots, X_n \rightarrow$ Random sample size of n
with mean μ and variance μ^2

$$\bar{X}_n = \frac{1}{n} \sum_{i=1}^n X_i$$

We know that

$$\sqrt{n}(\bar{X}_n - \mu) \rightarrow N(0, \mu^2)$$

So,

$$\sqrt{n}(g(\bar{X}_n) - g(\mu)) \rightarrow N(0, [g'(\mu)]^2 \mu^2)$$

Now, we want to derive a variance-stabilizing transformation s.t. $g(\bar{X}_n)$ asymptotic variance of $g(\bar{X}_n)$ does not depend on μ .

Thus, the variance should be constant, taking $c=1$

$$\Rightarrow (g'(\mu))^2 \mu^2 = 1$$

$$(g'(\mu))^2 = \frac{1}{\mu^2}$$

$$g'(\mu) = \frac{1}{\mu}$$

05

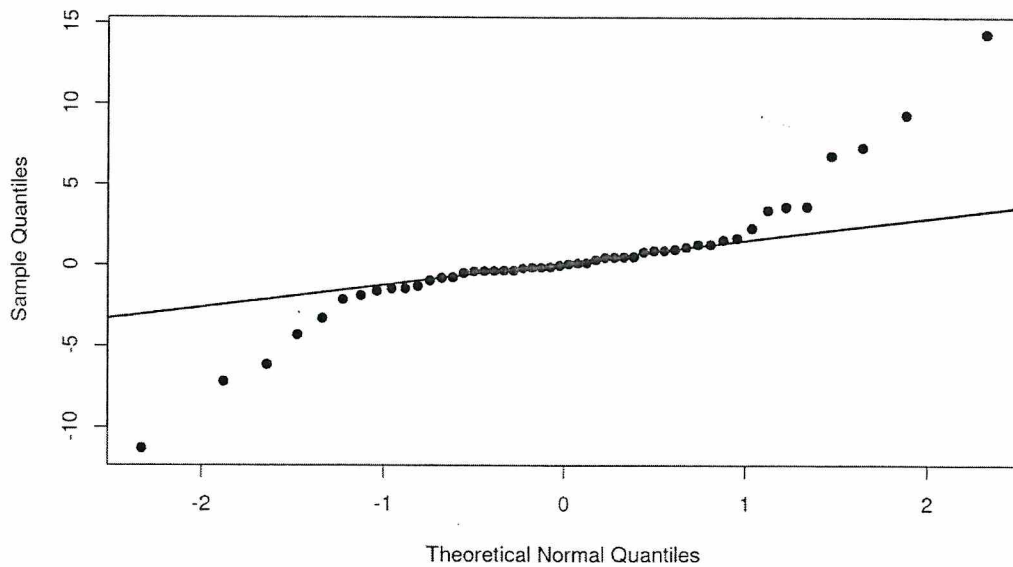
$$\int dg(\mu) = \int \frac{d\mu}{\mu}$$

$$g(\mu) = \ln \mu$$

Thus, the transformation can be written as

$$\boxed{g(x) = \ln x} \text{ Ans.}$$

4. (2 points) The figure below displays a Normal Q-Q plot for a dataset of size $n = 50$. Interpret this plot to determine if the data follows a normal distribution. If the normality assumption is violated, specify which class of distributions would more accurately characterize the data.



The data does not follow a normal distribution.

01

ADDITIONAL PAGES FOR ANSWERS

Handwritten text, likely bleed-through from the reverse side of the page.

